TEXORA · LECTURE SHEET

Export and Import Practices

The working system behind the theory: how an export strategy is chosen, the intermediaries who carry trade, how foreign markets are located, how exports are financed and an exporter registered in Bangladesh, the step-by-step export–import procedure, and the place of Special Economic Zones and BEPZA.

TE-4104 · APPAREL MERCHANDISING AND INTERNATIONAL TRADE · TOPIC 8 · LEVEL 4 TERM 1

1. Export strategy

An **export strategy** is a firm's deliberate plan for selling abroad: which markets, with which products, through which channels, at which level of commitment. Its elements are:

- **Market selection.** Choosing target markets by demand, access conditions (tariffs, preferences, rules of origin), competition, payment reliability and logistics.
- **Product strategy.** Offering the existing range as it is, adapting it to each market's sizes, standards and labelling, or developing market-specific products (Topic 1's design work, directed by strategy).
- **Entry mode.** Indirect export through intermediaries, direct export to buyers, or deeper commitment such as a liaison office — trading control against cost and risk (Section 2).
- **Pricing and terms policy.** Incoterm basis, currency, payment security (L/C discipline, Topic 5) and margin targets, set before negotiation begins.
- **Capacity and compliance readiness.** The factory must be able to pass buyer audits and product testing at the target market's standard — strategy that ignores capability is a wish, not a plan.

2. Export intermediaries

INTERMEDIARY	ROLE
Buying house / liaison office	Represents foreign buyers locally: sources factories, places and follows orders, controls quality (from the factory's side, it is the customer's local arm — Topic 2).
Export agent / commission agent	Finds buyers and negotiates orders on the exporter's behalf for a commission, without taking title to the goods.

Export merchant / trading house	Buys goods from producers and exports them in its own name, taking the market risk and the margin.
Freight forwarder	Arranges transport, consolidation and vessel booking, and prepares transport documentation for the exporter.
C&F agent	Performs customs clearance at the border for exporters and importers (Topic 5).
Banks and inspection agencies	The financial and verification intermediaries: L/C advising and negotiation, finance, and pre-shipment inspection (Topic 5).

Intermediaries cost a commission or margin, and buy the exporter market knowledge, buyer access, risk-bearing and administrative capacity in return. The strategic question is never whether intermediaries are “good” or “bad”, but which functions the firm performs itself and which it rents.

3. Locating foreign markets

Finding markets is a research procedure, not a hope:

1. **Desk research.** Trade statistics and market reports identify which countries import the product, in what volumes, from which competing suppliers, and under what tariff and preference conditions.
2. **Trade promotion channels.** Export promotion bodies, chambers of commerce and industry associations (in Bangladesh, the Export Promotion Bureau and the apparel associations) publish market intelligence and maintain buyer contacts.
3. **Trade fairs and missions.** Exhibiting at international sourcing fairs and joining trade delegations puts the product in front of buyers comparing suppliers side by side.
4. **Direct approach.** Identifying target buyers — brands, retailers, importers — and approaching them with samples, capacity profile and compliance evidence (Topic 2’s order collection).
5. **Digital channels.** B2B platforms and the firm’s own verifiable web presence, through which buyers increasingly make first contact.
6. **Screening before commitment.** Buyer creditworthiness, payment history and audit requirements are checked before sampling costs are incurred.

4. Export financing

An export order consumes cash months before it returns cash: materials are bought, wages paid and freight settled against payment that arrives only after shipment and document presentation. **Export financing** bridges that gap:

- **Pre-shipment finance.** Working-capital credit against a confirmed order / L/C, funding purchase of fabric and trims and production costs. In Bangladesh's apparel trade, the back-to-back L/C is the characteristic instrument: against the export (master) L/C, the exporter's bank opens import L/Cs for the order's fabric and accessories, so input purchases are financed within the security of the export order itself.
- **Post-shipment finance.** Negotiation of the export bill / documents under the L/C (Topic 5) pays the exporter at presentation instead of at the buyer's payment date; discounting of accepted usance bills performs the same function for term credits.
- **Refinance and support schemes.** Central-bank refinance facilities and export development funds, as policy provides, lower the cost of export working capital for eligible sectors.
- **Risk cover.** Payment security is primarily the L/C itself; where open-account terms are given, credit insurance / guarantee arrangements protect against buyer default.

> **FINANCE FOLLOWS THE ORDER CYCLE**
>
> Order confirmed → pre-shipment finance buys inputs → production → shipment → documents negotiated (post-shipment finance) → buyer retires documents → loans closed. A break at any stage — a delayed approval, a discrepant document — is immediately a cash-flow problem, which is why merchandising discipline (Topics 2–5) is also financial discipline.

5. Registration procedure of an exporter in Bangladesh

At principle level, a Bangladeshi firm becomes an exporter through a sequence of registrations (names and functions are stated generically; fees and detailed requirements change by regulation and are not stated here):

1. **Business formation and trade licence.** The firm is formed under the applicable company / proprietorship law and obtains a trade licence from the local authority (city corporation / union parishad) for its line of business.
2. **Tax registration.** Taxpayer identification (TIN) and, where applicable, VAT / BIN registration with the National Board of Revenue.
3. **Chamber / association membership.** Membership of a chamber of commerce (for example the district chamber or FBCCI, the federation) and of the relevant trade association — for apparel exporters, BGMEA (woven and knit apparel manufacturers and exporters) or BKMEA (knitwear) — which issues the membership / registration credentials used in export formalities.
4. **Registration with the export authority.** Registration as an exporter (with the Export Promotion Bureau's enrolment system) and opening of the banking arrangements through an authorised dealer bank.

5. **Per-shipment formalities.** Each export is declared on the **EXP form** through the authorised dealer bank — the central bank's declaration that export proceeds will be repatriated — and apparel exports are shipped under the association's documentation system (including the utilisation declaration / permission for imported inputs used under bond or back-to-back L/C).
6. **RCMC.** The Registration-cum-Membership Certificate issued through the recognised council / association channel evidences the firm's standing as a registered exporter-member for the purposes that require it.

6. Procedure in export–import trade

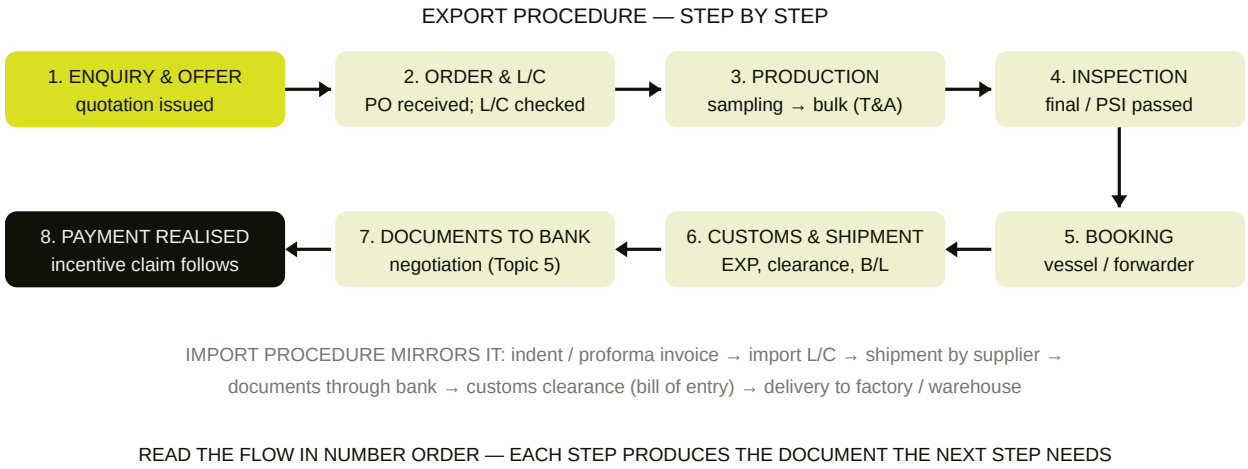


Figure 1 — The export procedure as a step flow. The import procedure below it is the same machinery run in reverse: the Bangladeshi buyer opens the L/C, and retirement of documents plus customs clearance deliver the goods.

Export procedure in words

1. Enquiry received; offer / quotation issued (Topic 2). 2. Order confirmed; L/C received, checked and amended if needed (Topic 5). 3. Sampling, approval, sourcing and bulk production against the T&A calendar (Topics 2–3). 4. Final / pre-shipment inspection passed. 5. Freight booking through the forwarder. 6. Export declaration (EXP form via the authorised dealer bank), customs clearance through the C&F agent, goods loaded, shipped-on-board B/L issued. 7. Complete document set presented to the bank for negotiation. 8. Payment realised on retirement of documents by the buyer; export-incentive claim follows where eligible (Topic 5).

7. Import procedure of industrial and commercial goods

Imports divide by purpose. **Industrial imports** are raw materials, components and machinery imported by a registered industrial consumer for its own production (apparel fabric and accessories under back-

to-back L/C are the course example); **commercial imports** are finished goods imported by a registered importer / trader for resale. The procedure shares one skeleton:

1. **Registration and entitlement.** The importer holds the registrations of Section 5 (trade licence, tax registration, chamber / association membership and importer registration); industrial importers additionally register their industrial status, which governs their import entitlement for raw materials.
2. **Indent / proforma invoice.** The foreign supplier's offer is confirmed — directly or through an indenting agent — fixing specification, quantity, price and Incoterm.
3. **Import L/C.** The importer's authorised dealer bank opens the L/C in the supplier's favour, with the import declared through the bank's reporting system (the IMP form procedure) as exchange regulation requires.
4. **Shipment and documents.** The supplier ships and presents documents through its bank; the documents arrive at the importer's bank.
5. **Retirement and customs clearance.** The importer retires the documents by payment / acceptance, and the C&F agent files the **bill of entry**, pays assessed duty and taxes, and clears the goods through customs examination and release.
6. **Delivery and use.** Goods move to the factory (industrial) or warehouse / market (commercial); for bonded industrial inputs, utilisation is accounted for against the export they were imported for.

8. Special Economic Zones and BEPZA

A **Special Economic Zone (SEZ)** — in Bangladesh usually termed an **Economic Zone** — is a designated area in which industries operate under a facilitated regime: serviced land and utilities, simplified (one-stop) government services, and customs and tax arrangements designed to attract investment, including export-oriented industry. Inside a zone, import of raw materials and export of finished goods follow the zone's bonded procedures rather than the ordinary port-by-port process, reducing the administrative friction described in Sections 6 and 7.

BEPZA — the Bangladesh Export Processing Zones Authority — is the government authority that establishes and administers the country's Export Processing Zones (EPZs), the earlier form of the zone model, and promotes investment in them. Enterprises in an EPZ are characteristically export-oriented: they import inputs duty-free under bond, employ local labour, and export their production, with BEPZA providing the one-stop services (licensing, customs, utilities coordination) that individual factories would otherwise obtain office by office. The economic logic is Topic 6's logic applied by policy: zones let a country plug its comparative-advantage industries — labour-intensive manufacture above all — into world markets while the wider regulatory system develops around them.

Glossary

TERM	MEANING
Export intermediary	An agent, merchant, buying house, forwarder or other specialist performing trade functions between producer and foreign buyer.
Back-to-back L/C	An import L/C opened for an order's inputs against the security of the export (master) L/C for that order.
EXP form	The central-bank export declaration, filed through an authorised dealer bank, evidencing that export proceeds will be repatriated.
Bill of entry	The customs declaration for imported goods, filed for assessment, duty payment and clearance.
RCMC	Registration-cum-Membership Certificate evidencing a trader's registered exporter-member standing.
SEZ / EPZ	Special Economic Zone / Export Processing Zone: a designated area with facilitated customs, tax and one-stop services for (mainly export-oriented) industry.
BEPZA	Bangladesh Export Processing Zones Authority: the authority administering the EPZs and promoting investment in them.

Key points and summary

- Export strategy chooses markets, products, entry mode and terms before any order is chased; capability and compliance readiness bound what strategy may promise.
- Intermediaries — buying houses, agents, merchants, forwarders, C&F agents, banks, inspection agencies — sell knowledge, access and risk-bearing for commission or margin.
- Markets are located by research: statistics, promotion bodies, fairs, direct approach and digital channels, with buyer screening before sampling cost is incurred.
- Export finance bridges the order cycle: pre-shipment credit and back-to-back L/Cs fund inputs; negotiation of documents funds the post-shipment wait.
- A Bangladeshi exporter registers through trade licence, tax registration, chamber / association membership (FBCCI, BGMEA / BKMEA for apparel) and exporter enrolment, then declares each shipment on the EXP form through an authorised dealer bank.
- Export and import procedures are mirror images built from the same documents; SEZs and BEPZA's EPZs exist to run that machinery with less friction for export-oriented industry.

Practice

Answer in your own words; brief model answers follow.

1. Place the export steps in order: (a) documents presented to bank; (b) L/C checked; (c) final inspection; (d) quotation issued; (e) customs clearance and loading; (f) bulk production.
2. Explain how a back-to-back L/C finances an apparel order’s fabric purchase, in three or four sentences.
3. State two differences between an industrial import and a commercial import.
4. An exporter complains that its C&F agent and its freight forwarder are “the same cost twice”. Correct the misunderstanding by stating each one’s distinct function.
5. Give two reasons a government establishes EPZs / economic zones rather than relying only on the ordinary customs system.

Answer key

1. (d) → (b) → (f) → (c) → (e) → (a).
2. The buyer’s export L/C in the exporter’s favour is the bank’s security. Against it, the exporter’s bank opens import L/Cs to the fabric / trim suppliers, so inputs are bought on bank credit tied to that order. When the export documents are negotiated and proceeds realised, the input L/C obligations are settled from the export earnings — the order substantially finances its own materials.
3. An industrial import is raw material / machinery imported by a registered producer for its own production, with entitlement linked to that industrial use; a commercial import is finished goods imported by a trader for resale in the market.
4. The freight forwarder arranges carriage — booking, consolidation and transport documents. The C&F agent performs customs clearance — declaration, duty assessment and release. One moves the goods through the transport system; the other moves them through the customs system.
5. To offer investors serviced land, one-stop services and bonded duty-free input procedures in one place, making export production faster to establish and run; and to concentrate infrastructure and administration so export industries can grow — earning foreign exchange and employment — ahead of economy-wide reform.
